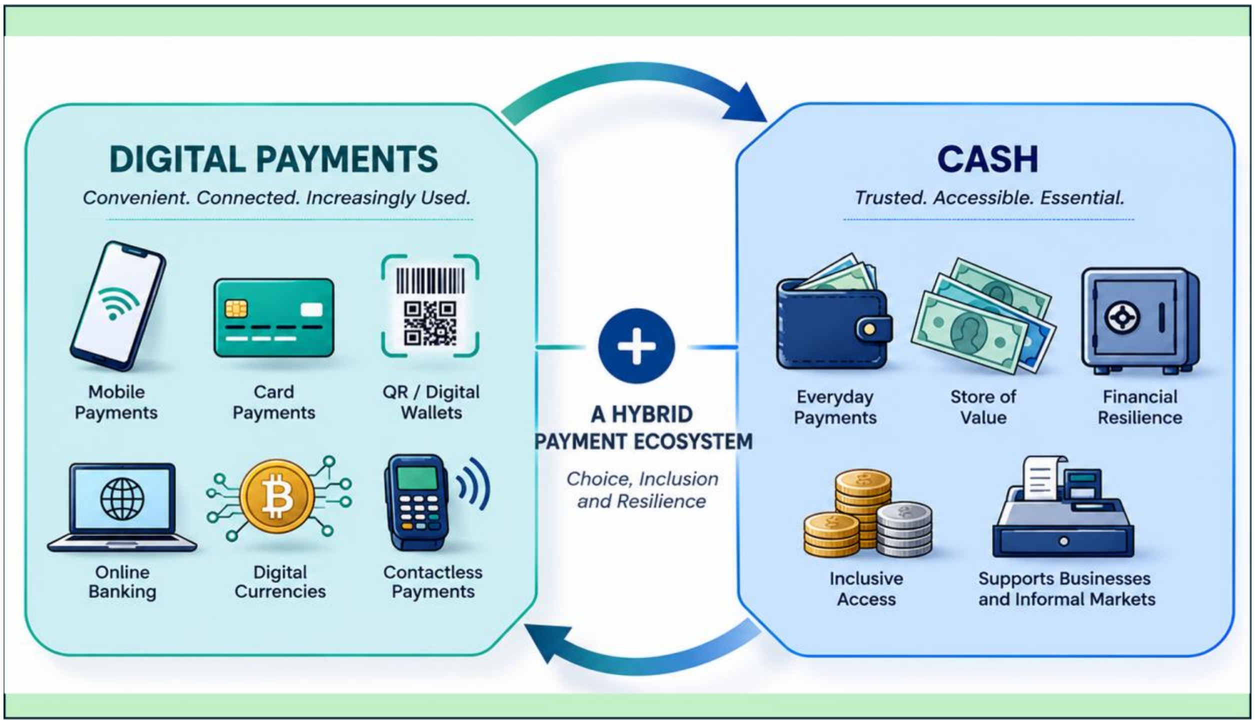
STEADY GROUND RESEARCH
BROADER PERSPECTIVE | SEPTEMBER 2026

Will We Really Become Cashless? A Global Perspective on the Future of Cash

Digital payments are transforming how we pay. But the evidence suggests that cash is proving harder to leave behind than many expected.



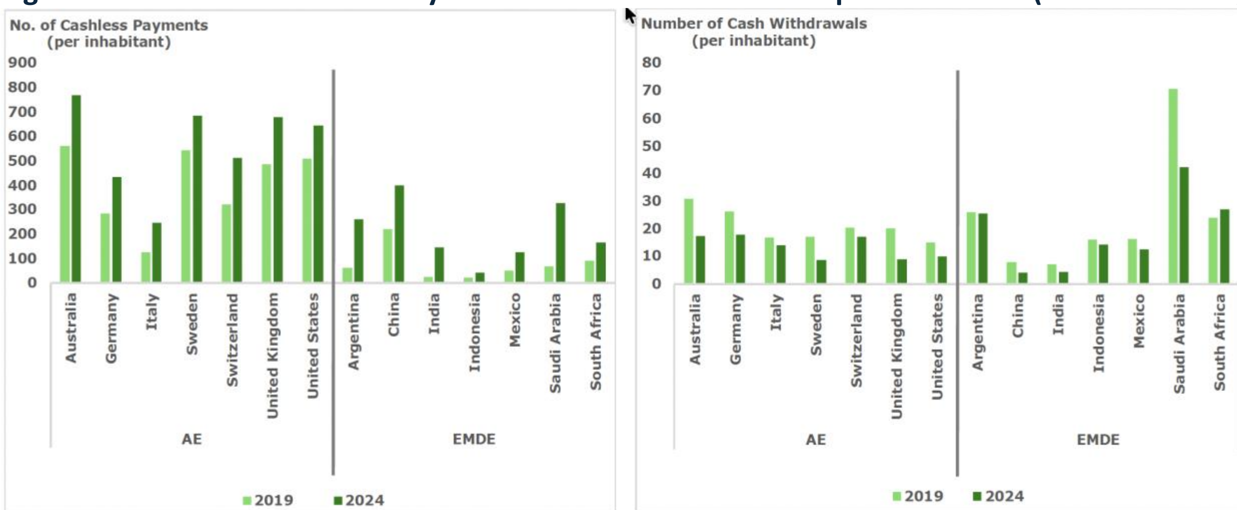
Published: September 3, 2026
Research area: Payment Systems Innovations | Cash in a Digital Economy

1. Introduction: The Cashless Prediction

For years, the rise of digital payments has fuelled predictions that cash would eventually disappear. The rapid expansion of payment cards, mobile wallets, instant payment systems and contactless payment technologies, particularly during and following the COVID-19 pandemic, has transformed how consumers and businesses make and receive payments, making the prospect of a cashless society increasingly plausible.

In many economies, this transition is already well advanced. Recent evidence suggests that cash is accounting for a declining share of everyday transactions, while the use of digital payment methods continues to expand. A broader view of this trend is provided in **Figure 1**, which presents a selected number of advanced economies (AE) and emerging market and developing economies (EMDEs) with available comparable data and at different stages of payment system development. Cashless payments per inhabitant increased across all of the selected economies[1] in 2024 relative to 2019. In contrast, cash withdrawals per inhabitant declined in all but one of the economies over the same period[2].

Figure 1: Number of Cashless Payments and Cash Withdrawals per inhabitant (2019 and 2024)



Sources: BIS Payments Statistics and the Federal Reserve Payments Study (FRPS).

The broad increase in digital payment activity, alongside the general decline in cash withdrawals, may make it tempting to view this situation as a straightforward progression: as digital payments become more convenient and widely available, cash will gradually be replaced.

But is declining transactional use of cash equivalent to the disappearance of cash?

The answer may be more complicated than the conventional cashless narrative suggests. Cash can serve purposes beyond transactional use, including as a store of value, a precautionary buffer, as a backup when digital payments are unavailable, while offering distinct attributes that households and businesses continue to value:

- Choice, for consumers who prefer different payment methods;
- Accessibility, for people who face barriers to digital payments;
- Privacy, because cash transactions do not generate the same digital payment trail; and
- Continuity, by providing an alternative payment method when digital payment systems are unavailable or disrupted.

[1] AE = Advanced Economies, EMDE = Emerging Market and Developing Economies.

[2] Cash withdrawals for the United States (US) were calculated by dividing total number of ATM cash withdrawals from the Federal Reserve Payments Study (FRPS) by US Census Bureau population estimates. Due to the FRPS triennial reporting cycle, 2018 ATM cash withdrawal data is used as a proxy for 2019.

This raises the question: As digital payments expand, what functions will cash serve in the global payment system, and what will drive its continued relevance?

This article examines this question by looking at the role of cash across the euro area, the United States, Sweden, India and South Africa, economies that differ in their payment systems, levels of financial inclusion, and patterns of cash use. Their experiences provide useful insights into how the role of cash is evolving as digital payments continue to expand.

2. A Global View on the Future of Cash

Recent evidence suggests that the future of cash is likely to be one of declining transactional use rather than outright disappearance. As digital payments expand, cash may increasingly serve more specialised roles, such as a store of value, a payment option for those who prefer or depend on it, and a fallback when digital payment infrastructure is unavailable. Across countries, however, there are variations in the roles that cash continues to serve, and the factors supporting its continued relevance.

A. Euro Area

A 2025 European Central Bank (ECB) study, "**Cash is alive… and somewhat young? Decoupling age, period and cohort from euro cash use**" provides an important starting point. The study finds that cash remains relevant in the euro area despite the continued expansion of digital payments, with its role extending beyond everyday transactions. It shows that cash behaviour reflects both age-related patterns and broader period effects, rather than a simple generational shift away from cash.

The report noted:

- **Transactional use remains significant:** Although cash use has declined, it accounted for around 50% of physical point-of-sale transactions in 2024 and remained the most frequently used payment method in the euro area.
- **Cash serves purposes beyond transactions:** Cash held at home for precautionary purposes increased across age groups during the pandemic, while younger adults consistently reported higher levels of precautionary cash holdings. The perceived importance of having cash available as a payment option also increased across age groups between 2019 and 2024.

The ECB's 2026 survey of companies provides a complementary perspective from the supply side of the payment system. In 2026, 92% of companies with physical points of sale accepted cash, up from 90% in 2024, while acceptance of mobile payments increased sharply from 36% to 68%. Moreover, 92% of companies that currently accept cash expect to continue doing so over the next five years.

The survey also suggests that cash continues to have attributes that companies value. Consumer preference was the most frequently cited criterion when companies decide which payment methods to accept, followed by security and ease of handling. Companies that accept both cash and digital payments viewed cash particularly favourably in terms of privacy and reliability, with no category in which digital payments were considered clearly superior to cash.

B. United States

The United States provides a useful comparison. Digital payments continue to expand, but cash remains a regular part of consumer payment behaviour. According to the Federal Reserve's 2026 Diary of Consumer Payment Choice, payment behaviour has changed gradually over the past decade. Although the use of cash has declined, most consumers continue to use a combination of cash, debit cards and credit cards, with payment patterns varying across demographic and geographic groups.

The report stated that:

- **Cash remains widely used:** Four out of five consumers used cash in the previous 30 days, while 90% planned to continue using it in the future. Notably, older, lower-income and rural consumers use cash more frequently than younger, higher-income, urban and suburban consumers, highlighting differences in payment patterns across demographic groups. Additionally, in 2025, cash accounted for 14% of consumer payments and remained the third most-used payment instrument, reinforcing its continued relevance alongside cards and other digital payment options.
- **Payment habits change gradually:** Although the number of cash payments has declined, the change has been relatively modest, suggesting that the introduction of new payment technologies does not immediately displace established payment habits.
- **Cash also serves as a precautionary or backup resource:** Many consumers hold cash for emergencies or as a backup, while the average amount of cash held has increased.

The persistence of cash, together with the gradual evolution of payment habits, suggests that cash and digital payments are likely to coexist for the foreseeable future.

C. Sweden

Sweden represents one of the strongest examples of digital payment adoption. Yet its experience also highlights why the future of cash cannot be assessed solely through its declining use in everyday transactions.

The Sveriges Riksbank's Payments Report 2026 shows that cash use has continued to decline as cards and mobile payments have become increasingly dominant. In 2025, only 5% of respondents reported using cash for their most recent in-store purchase, compared with 10% in 2023 and 40% fifteen years earlier. Nevertheless, cash remains important to many people: almost half of respondents considered the decline in cash use somewhat or very negative.

The report highlighted the following:

- **Cash remains important despite low usage:** Almost half of respondents viewed the decline in cash use negatively, indicating that the importance attached to cash extends beyond how frequently it is used for transactions.
- **Cash remains relevant for particular businesses and transactions:** Sixty-seven percent (67%) of small businesses accept cash, although only 7% of their customer payments are made in cash. Acceptance is considerably higher among businesses selling essential goods such as food, medicine and fuel.
- **Cash provides a fallback when digital payments are disrupted:** When their regular internet connection is unavailable, 61% of businesses report using both cash and Swish as their main backup solutions. This illustrates a role for cash that is not captured by its normal transaction share.

Sweden therefore provides a particularly clear example of the distinction between declining transactional use and continuing functional relevance. While cash play a relatively small role in everyday payments, it remains vital for crisis preparedness, inclusion, and as a backup when digital payment systems are disrupted.

D. India: Digital Payment Growth Alongside Cash

India presents a different trajectory. The rapid expansion of the Unified Payments Interface (UPI) has transformed the country's digital payment landscape, making instant account-to-account payments increasingly embedded in everyday commerce. Yet the growth of digital payments has occurred alongside continued demand for physical currency. The Reserve Bank of India (RBI) has described this as a “currency demand paradox”, noting that the simultaneous growth of cash and digital payments is counterintuitive given their expected substitutability. The expansion of digital payments has not translated into the disappearance of cash, but rather into a payment system in which digital and cash transactions continue to serve different needs.

Evidence from the Reserve Bank of India indicate:

- **Cash remains deeply embedded in the economy:** Despite the growth of digital payments, cash withdrawals remain substantial. RBI data continue to show extensive ATM and other cash-withdrawal activity alongside the rapid expansion of digital payment channels.
- **Cash continues to serve particular purposes:** RBI analysis identifies precautionary cash holdings, the presence of a large informal economy and the interaction between digitally routed government benefits and subsequent cash withdrawals among factors supporting continued demand for currency.

India illustrates an important distinction between the growth of digital payments and the displacement of cash, while also showing that digital and cash payments can coexist and serve complimentary roles. Digital payments can expand rapidly without eliminating the demand for cash, particularly where cash continues to serve precautionary, store-of-value or other functions that extend beyond its use in everyday transactions.

E. South Africa

South Africa provides another example of the coexistence of cash and digital payments. Although digital payment methods are expanding, cash remains an important part of everyday commerce, particularly in rural areas, informal markets and lower-income communities. Its continued use reflects differences in access, affordability, infrastructure, trust and digital capabilities rather than simply a preference for traditional payment methods.

The South African Reserve Bank (SARB) recognises that cash continues to play an important role within the country's payment system. The evidence presented in its 2026 position paper on cash in South Africa highlights cash's contribution to financial inclusion and resilience, particularly for communities that face barriers to digital payments. Cash also provides a fallback when digital payment infrastructure is disrupted by power outages, network failures or other system interruptions.

The SARB noted the following in its position paper:

- **Cash remains embedded in everyday commerce:** Cash continues to play an important role in informal markets and low-value transactions, where accessibility and immediate settlement can make it a practical payment method.
- **Cash provides resilience:** Physical cash can serve as a fallback when electricity, telecommunications or digital payment infrastructure is unavailable, giving it a role that extends beyond normal transactional use.

The SARB's position therefore reflects a shift away from viewing cash simply as a payment method in decline. Instead, its continued availability is treated as an important consideration for the efficiency, resilience and inclusiveness of the wider payment system. South Africa illustrates that the relevance of cash depends not only on how frequently it is used, but also on the needs of the people and circumstances that digital payments do not fully serve.

3. Beyond Transaction Volumes: Why Does Cash Persist?

> **The growing reliance on digital payments raises an important question: if cash is being used less frequently for everyday transactions, why does demand for it persist?**

Digital payments offer clear advantages under normal conditions, including speed, convenience and increasingly seamless integration into everyday economic activity. However, they also depend on infrastructure that can be disrupted. Power outages, telecommunications failures, cyber incidents and technical problems can affect the ability to make or receive digital payments.

Cash does not eliminate the vulnerabilities associated with digital payments infrastructure, nor is it necessarily the most efficient payment method for every transaction. Its value lies partly in the functions it can serve when digital payment channels are unavailable or unsuitable. It can provide an alternative means of payment, support access for people who face barriers to digital services and give consumers and businesses another payment option.

This helps explain why authorities in highly digitalised economies are increasingly concerned not only with promoting digital payments, but also with maintaining the infrastructure needed to ensure continued access to cash. Maintaining cash availability can provide an important layer of resilience when digital payment channels are disrupted, while also supporting those who continue to rely on cash.

The future of payments is therefore unlikely to be a simple choice between cash and digital. Instead, the evidence points towards a hybrid payment ecosystem in which digital payments account for an increasing share of everyday transactions, while cash continues to serve specific functions within a resilient and inclusive payment system.

4. The Broader Insight

The persistence of cash also illustrates a broader lesson about technological change. The adoption of a new technology does not necessarily mean the complete replacement of what came before.

Digital payments can grow rapidly without eliminating cash. Consumers can increasingly rely on digital channels while continuing to value having alternatives available. Businesses can expand their acceptance of digital payments without necessarily withdrawing cash as a payment option.

The relevant measure of progress may therefore not be how quickly digital payments replace cash, but whether the payment system provides the efficiency, choice, accessibility and resilience that users and the wider economy require.

This is increasingly reflected in the actions of payment authorities. As the role of cash evolves, authorities in several economies are taking steps to preserve access to cash, maintain acceptance and strengthen the infrastructure that supports its continued use. At the same time, efforts to improve the resilience of digital payment systems are becoming increasingly important. The objective is therefore not necessarily to preserve cash at its historical level of use, but to ensure that the payment system remains accessible, resilient and capable of meeting different needs as payment habits change.

The question may ultimately be less about whether we will become cashless and more about what role cash should continue to play in a digital economy.

The future of payments may not be cashless. It may be hybrid.

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